

Michigan's Truth in Renting Act

What Does the Act Do?

- Protects tenants by regulating what may be included in a rental agreement as set forth in Michigan law.
- Requires a notice be included that reads in bold font, in all capital letters:

NOTICE: MICHIGAN LAW ESTABLISHES RIGHTS AND OBLIGATIONS FOR PARTIES TO RENTAL AGREEMENTS. THIS AGREEMENT IS REQUIRED TO COMPLY WITH THE TRUTH IN RENTING ACT. IF YOU HAVE A QUESTION ABOUT THE INTERPRETATION OR LEGALITY OF A PROVISION OF THIS AGREEMENT, YOU MAY WANT TO SEEK ASSISTANCE FROM A LAWYER OR OTHER QUALIFIED PERSON.

Prohibited Provisions and Clauses

Section §554.633 of the Michigan Truth in Renting Act prohibits the inclusion of certain provisions or clauses in a rental agreement/lease. Any contract that violates this act is considered invalid and void. This includes:

- Any waiver, alteration, or infringement of the tenant's rights as set forth in Michigan law that includes possession, eviction, right to a trial by jury or any other right to notice or procedure required by law
- A violation of the Michigan Civil Rights Act, Persons with Disabilities Act, Consumer Protection Act, or other consumer protection laws
- A confession of judgement by a party
- A release from liability from a duty imposed by law
- A requirement to give the lessor power of attorney
- An acceleration of rent clause
- A release from a duty to mitigate damages
- A provision for liability of legal costs or fees that are in excess of what is permitted by law
- A clause that provides the lessor with interest in the tenant's personal property to ensure payment of rent or other charges unless allowed by law
- Any clause that allows the landlord to change the lease without written consent (The landlord may make changes to a lease if they give 30 days' notice and the change is required by law, for health and public safety, or is an increase to cover additional property operating cost such as taxes, insurance, or utilities.)

Violations

Lessors can cure violations by notifying tenants that the provision is void and unenforceable or by modifying the provision so that it doesn't violate law. Notice can be delivered in person, or via first class or certified mail to the tenant at the leased property address. Tenants can notify the lessor in writing if they believe a provision included in their rental agreement violates law. All rental agreements must include the name and address where tenants can deliver such notices. If the lessor fails to cure the violation within 20 days of receiving the tenant's written notice, the tenant can take action for the following relief:

- Void the rental agreement and terminate the contract.
- Prohibit the lessor from including the provision in subsequent agreements
- Recover damages of \$250 per action or actual damages, whichever is greater. In some cases, multiple actions related to the same provision may be joined so that only one judgment for damages of \$250 is awarded.

If the lessor fails to include the above notice or a name and address where tenants can deliver notices of potential violations on the rental agreement, the lessor can cure this violation by delivering a separate notice to the lessee. This notice can be delivered in person, or via first class or certified mail to the tenant at the leased property address. Tenants can notify the lessor in writing if they believe this notice wasn't included in their rental agreement. If the lessor fails to cure the violation within 20 days of receiving the tenant's written notice, the tenant can take action for the following relief:

- Void the rental agreement and terminate the contract.
- Prohibit the lessor from failing to provide this notice with subsequent agreements.
- Recover damages of \$500 per action or actual damages, whichever is greater.

Tenants can seek remedy without prior written notice to the lessor if the rental agreement meets any of the following:

- Contains a provision previously determined by a court to be a violation in an action involving the lessor.
- Contains a provision the lessor actually knew was a violation when the agreement was entered into.
- Fails to contain the required truth in lending compliance notice or lessor name/address and actually knew these items were missing when the agreement was entered into

Any party who brings action and prevails can recover court costs and statutory attorney fees.